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POLICY NUMBER: **FP-FIN-020**

# REVENUE RECOGNITION

# ACCOUNTING POLICY

The purpose of this policy is to provide comprehensive guidance regarding revenue recognition in order to align Hilton Worldwide, Inc.'s ("Hilton's") accounting methodology with U.S. Generally Accepted Accounting Principles ("GAAP") Accounting Standards Codification ("ASC").

## POLICY STATEMENT

Hilton categorizes its revenue streams into five broad categories: Franchise fees, Base and other management fees, Incentive management fees, Owned and Leased hotels (including consolidated joint ventures), and Other revenues from managed and franchised properties.

## SCOPE

This policy applies to all revenue recognition principles across all of Hilton's business units unless specific guidance is provided in the **FP-FIN-030 – Revenue Recognition Management and Franchise Contracts** policy.

## APPLICABILITY

This policy applies to all Finance personnel.

## EXCLUSIONS/ EXCEPTIONS

None

## AUTHORIZATIONS

### Required Consultations with Accounting Research & Policy

Process Owners should ensure they are following the latest consultation requirements via the management or franchise license agreement checklist (as required). Refer to the **FP-FIN-030 – Revenue Recognition Management and Franchise Contracts** policy for additional consultation requirements for Management and Franchise contracts.

## RECOGNITION AND MEASUREMENT

Revenue will be recognized once Hilton determines that a contract exists and when (or as) it satisfies a performance obligation by transferring a promised good or service to its customer<sup>1</sup>. In order to determine when revenue should be recognized, the following five steps must be performed:

### **a. Step 1: Identify the contract(s) with a customer**

#### *General*

A contract is an agreement between two or more parties that creates enforceable rights and obligations. Enforceability of the rights and obligations in a contract is a matter of law. A contract exists if the following five criteria have been met<sup>2</sup>:

1. *The parties have approved the contract and are committed to perform:* The form of the contract can be oral, written or implied, so as long as both parties have approved the contract and are committed to perform.
2. *Each party's rights related to the goods or services to be transferred can be identified*
3. *The payment terms for the goods or services to be transferred can be identified:* This does not require that the transaction price be fixed or stated in the contract, provided that there will be an enforceable right to payment (i.e., enforceability as a matter of law) and the contract contains sufficient information to enable Hilton to estimate the transaction price (i.e., a stated price per unit or a stated royalty rate).
4. *The contract has commercial substance:* Hilton should be able to demonstrate that a substantive business purpose exists for the arrangement. This exists if the risk, timing or amount of Hilton's future cash flows is expected to change as a result of the contract.
5. *Substantially all of the amount Hilton expects to be entitled to under the terms of the contract is collectable:* For a contract to exist, at contract execution, it must be probable that Hilton will collect substantially all of the consideration to which it

<sup>1</sup> ASC 606-10-25-23, Revenue from Contracts with Customers, Overall, Recognition

<sup>2</sup> ASC 606-10-25-1, Revenue from Contracts with Customers, Overall, Recognition

will be entitled in exchange for the goods or services that will be transferred to the customer. For Hilton, the percentage of likelihood associated with probable is generally understood to be approximately 75%. Any price concessions Hilton expects to provide will reduce the amount we expect to be entitled to in making this determination on a case by case basis.

The assessment of whether a contract exists shall only be reassessed if there is an indication of a significant change in facts and circumstances. For example, if there is a change in the customer's ability to pay the consideration, Hilton will need to reassess whether it is probable that it will collect substantially all of the consideration to which it will be entitled in exchange for the remaining goods or services that will be transferred to the customer<sup>3</sup>. If it is determined that a contract no longer exists, any changes in recognition will be accounted for on a prospective basis.

If at contract onset or at a later date it is determined that not all five criteria are met, revenue shall only be recognized when one or more of the following events have occurred<sup>4</sup>:

1. There are no remaining obligations to transfer goods or services to the customer and all, or substantially all, of the consideration promised by the customer has been received and is nonrefundable.
2. The contract has been terminated, and the consideration received from the customer is nonrefundable.
3. The goods or services to which the consideration received relates to has been transferred and Hilton has stopped transferring goods or services to the customer and has no obligation under the contract to transfer additional goods or services, and the consideration received from the customer is nonrefundable.

#### **Illustration 1 – A contract does not exist – Consideration is not collected**

##### **Facts:**

Hilton enters into a 10-year management agreement with a new owner. As part of Hilton's due diligence process, the company believes that it will collect substantially all of the amounts that it will be entitled. After the first six months of services provided, the owner has not paid any of the \$500,000 in fees that the Hilton recognized as revenue and is due for the services rendered and the Company recognizes an allowance for bad debt of \$500,000. Hilton reassesses collectability and determines that it no longer believes that it will collect substantially all of the amounts that it will be entitled. In month seven, Hilton earned \$100,000 in management service fees based on the services it provided to the owner over that period and has still not collected any amounts due. Hilton is in discussion with the owner still regarding these unpaid fees and has decided not to terminate the management agreement.

##### **Analysis:**

After the first six months, Hilton concluded that the collectability criteria of the five criteria needed in order to have a contract was no longer met and therefore concluded that it did not have a contract. Hilton then determined it did not meet any of the three criteria to recognize revenue.

##### **Conclusion:**

Beginning in month seven, Hilton has determined that it no longer has a contract and has not collected any of the fees to which it is entitled and none of the above three criteria have been met. Therefore revenue cannot be recognized for fees earned (i.e., the \$100,000 earned in month seven). This conclusion will be reassessed in future periods if facts and circumstances indicate Hilton will now collect substantially all of the consideration it expects to be entitled to or meets one of the three criteria to recognize revenue.

<sup>3</sup> ASC 606-10-25-5, Revenue from Contracts with Customers, Overall, Recognition

<sup>4</sup> ASC 606-10-25-7, Revenue from Contracts with Customers, Overall, Recognition

### Illustration 2 – A contract does not exist – Consideration collected

#### Facts:

Same facts as in **Illustration 1**, except that beginning in month 7 the Owner begins making sporadic payments, totaling \$600,000 of the \$3 million of fees earned under the contract over a 2 year period. The Company continues to manage the hotel and has not terminated the contract.

#### Analysis:

Due to the sporadic nature of the payments and the fact that the payments received only total 20% of the consideration Hilton is entitled to, Hilton still concludes it does not have a contract.

#### Conclusion:

As Hilton does not have a contract but has collected \$600,000, the allowance related to the \$500,000 of fees recognized previously will be reversed. Hilton will recognize a deferred revenue liability for the remaining \$100,000 until it concludes there is a contract or one of the three criteria to recognize revenue are met.

### *Considerations for Multiple Agreements entered into with the same Customer*

Hilton shall combine and evaluate two contracts as a single contract if one or more of the following criteria are met<sup>5</sup>:

1. The contracts are negotiated as a package with a single commercial objective.
2. The amount of consideration to be paid in one contract depends on the price or performance of the other contract.
3. The goods or services promised in the contracts represent a single performance obligation, refer to **Step 2: Identifying the Performance Obligation(s) in the Contract** below.

For example, Hilton may enter into multiple agreements for one hotel property (i.e., a management agreement and franchise agreement) or may enter into management agreements for two properties with a single owner. Generally, multiple agreements executed with the same owner that were entered into at or near the same time should be combined and considered one contract for accounting purposes as it is presumed that they were entered into with a single commercial objective.

### *Determining the Term of a Contract*

Determining the contract term for accounting purposes is significant as it can affect the other steps in the application of the revenue recognition model. The contract term for accounting purposes is the period over which there are enforceable rights and obligations, which is typically the stated contract term as there are liquidated damages or substantial termination penalties for early terminations. Further, the contract term should include any renewal periods at Hilton's sole option so as long as Hilton is reasonably assured of exercising the renewal option.

### *Contract Modifications*

Subsequent to contract onset, Hilton may modify and amend an agreement with a customer. A contract modification should be accounted for in one of the following manners:

- 1) Separate contract - if additional goods or services that are distinct are added to the contract with a corresponding increase in the transaction price that reflects the standalone selling prices of the additional distinct goods or services<sup>6</sup>.

<sup>5</sup> ASC 606-10-25-9, Revenue from Contracts with Customers, Overall, Recognition

<sup>6</sup> ASC 606-10-25-12, Revenue from Contracts with customers, Overall, Recognition

- 2) Termination of the existing contract and creation of a new contract – if the remaining goods or services are distinct from the goods or services transferred on or before the date of the modification but are not priced at their standalone selling price<sup>7</sup>.
- 3) Part of the existing contract – if the remaining goods or services are not distinct and therefore form part of a single performance obligation that is partially satisfied at the date of the contract modification<sup>8</sup>.

Refer to **Step 2: Identifying the Performance Obligation(s) in the Contract** for determining whether the additional goods or services promised in a modification are distinct and whether they are considered a separate performance obligation or whether they form part of a single performance obligation.

#### ***b. Step 2: Identifying the Performance Obligation(s) in the Contract***

##### ***General***

After identifying the contract, and the promised goods and services within the contract, careful consideration needs to be given to determining which of these goods and services, if any, will be accounted for as a separate performance obligation and therefore, a separate unit of account. A good or service is a separate performance obligation if the good or service to be transferred meets both of the following criteria<sup>9</sup>:

1. **Capable of being distinct:** A good or service is capable of being distinct if the good or service provides a benefit to the customer either on its own or together with other resources that are readily available to the customer<sup>10</sup>.
2. **Distinct within the context of the contract:** In determining whether a good or service is distinct within the context of the contract consideration shall be given to the following<sup>11</sup>:
  - Does Hilton provide a significant service of integrating the good or service with other goods or services in the contract?
  - Does the good or service significantly modify or customize, or is significantly modified or customized by one or more of the other goods or services in the contract?
  - Are the goods and/or services within the contract highly interdependent or highly interrelated with one another?

Distinct goods and services that are substantially the same and have the same pattern of transfer shall be considered a single performance obligation<sup>12</sup>. For example, while the activities of providing hotel management services may vary each day, the nature of the services are the same each day and therefore, the provision of hotel management services is a series of distinct services that represent a single performance obligation.

Further, if goods and services promised within the contract do not qualify as separate performance obligations, these items should be combined with other goods and services within the arrangement until a bundle of goods or services is identified that is considered a performance obligation<sup>13</sup>. This could result in Hilton accounting for all goods or services promised in a contract as a single performance obligation.

##### ***Customer Options for Additional Goods or Services***

Sales contracts that give the customer the option to acquire additional goods or services at a discount or free of charge may be considered a separate performance obligation if that option provides a material right to the customer that it would not have received without entering into that contract. If the option provides the customer with a material right, the customer is in effect paying Hilton in advance for that future discount or free good or service<sup>14</sup>. For example, if a customer books a hotel stay and as part of booking that hotel stay obtains a free breakfast that typically costs \$20, that free breakfast would be considered a separate performance obligation because the customer only obtained that free breakfast because he or she booked the hotel stay.

<sup>7</sup> ASC 606-10-25-13(a), *Revenue from Contracts with Customers, Overall, Recognition*

<sup>8</sup> ASC 606-10-25-13(b), *Revenue from Contracts with Customers, Overall, Recognition*

<sup>9</sup> ASC 606-10-25-19, *Revenue from Contracts with Customers, Overall, Recognition*

<sup>10</sup> ASC 606-10-25-20, *Revenue from Contracts with Customers, Overall, Recognition*

<sup>11</sup> ASC 606-10-25-21, *Revenue from Contracts with Customers, Overall, Recognition*

<sup>12</sup> ASC 606-10-25-14, *Revenue from Contracts with Customers, Overall, Recognition*

<sup>13</sup> ASC 606-10-25-22, *Revenue from Contracts with Customers, Overall, Recognition*

<sup>14</sup> ASC 606-10-55-41 through 55-42, *Revenue from Contracts with Customers, Overall, Implementation Guidance*

*Typical Performance Obligations Identified within Hilton's Contracts*

In connection with the management and franchise agreements that Hilton enters into, Hilton can have the following performance obligations associated with each agreement:

| Performance Obligation                                                                                                    | Description                                                                                                                                                                                                                                  | Agreement the performance obligation is generally associated |
|---------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------|
| • Hotel Management Services                                                                                               | • Providing day-to-day management services of the hotels for the hotel owners (a series of distinct services performed over time).                                                                                                           | • Management Agreement                                       |
| • Right to access Hotel System IP                                                                                         | • The right to access our hotel system IP, including brand IP, reservations systems and property management systems (a series of distinct services performed over time).                                                                     | • Management Agreement<br>• Franchise Agreement              |
| • Development Services / Technical Services                                                                               | • Providing consultative services (e.g., design assistance, contractor selection) to the hotel owner to assist with the day-to-day construction of the hotel prior to the hotel opening (a series of distinct services performed over time). | • Management Agreement<br>• Franchise Agreement              |
| • Pre-Opening Services                                                                                                    | • Providing services (e.g., advertising, budgeting, e-commerce strategies, food and beverage testing) to the hotel owner to assist in preparing for the hotel opening (a series of distinct services performed over time).                   | • Management Agreement                                       |
| • A material right to a free good or service provided to the hotel guest through the accumulation of Hilton Honors points | • The obligation to provide or arrange for the provision of a discount or free good or services (satisfied at a point in time when the underlying free or discounted good or service is provided to the customer).                           | • Management Agreement<br>• Franchise Agreement              |

In connection with Hilton's owned and leased hotels, Hilton can have the following performance obligations:

| Performance Obligation                                                   | Description                                                                                                                                                                                                                          |
|--------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| • Cancellable room reservations or ancillary services                    | • Typically satisfied as the good or service is transferred to the customer (e.g., when the room stay occurs).                                                                                                                       |
| • Noncancelable room reservations and banquet or conference reservations | • Represent a series of distinct goods or services provided over time and is satisfied as each distinct good or service is provided (e.g., the duration of the room reservation).                                                    |
| • Material rights for free or discounted goods or services               | • Satisfied at a point in time when the underlying free or discounted good or service is provided to the customer.                                                                                                                   |
| • Other ancillary goods and services                                     | • Ancillary services purchased independently of the room reservation at standalone selling prices are considered separate performance obligations, which are satisfied when the related good or service is provided to the customer. |
| • Components of package revenue                                          | • Each component that could be sold separately to other customers is considered a separate performance obligation, which are satisfied as set forth above for each component.                                                        |

### *Principal versus Agent Considerations*

When more than one party is involved in providing goods or services to a customer, Hilton must determine whether it is a principal or agent in the transaction. Hilton must determine whether the nature of its promise is a performance obligation to provide the specified goods or services itself (that is, Hilton is the principal) or to arrange for those goods or services to be provided by the other party (that is, Hilton is the agent). For each performance obligation, Hilton must determine whether it controls the specified good or service before that good or service is transferred to the customer. If Hilton determines that it controls the specified good or service prior to it being transferred to the customer, Hilton is the principal in the transaction<sup>15</sup>. An entity controls a good or service before it is transferred if it can direct the use of, and obtain substantially all of the remaining benefits from that good or service. Control also includes the ability to prevent others from directing the use of, and obtaining the benefits from that good or service<sup>16</sup>.

To help determine whether Hilton controls a specific good or service prior to transferring it to a customer the following indicators that should be considered are, but are not limited to:

| Indicator                                                                                               | Description                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
|---------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| The entity is primarily responsible for fulfilling the promise to provide the specific good or service. | Hilton takes on the responsibility for the acceptability of the specified good or service, such as ensuring that the good or service meets customer specifications <sup>17</sup> . Accepting responsibility for a good or service can be an indicator that Hilton has obtained control of that good or service prior to it being transferred to the customer.<br><br>The terms of the contract and representations made by Hilton during the marketing generally will provide evidence as to whether Hilton is responsible for the acceptability of that good or service. |
| The entity has inventory risk before and/or after the specific good or service is transferred           | Hilton obtains control of the good prior to entering into a contract with a customer and/or has the responsibility to accept returned goods from the customer or Hilton is obligated to compensate the third party individual service provider for work performed regardless of whether the customer accepts that work <sup>18</sup> . Inventory risk can be an indicator that Hilton has obtained control of the good or service prior to it being transferred to the customer.                                                                                          |
| The entity has discretion in establishing the price for the specific good or service.                   | Hilton has discretion in establishing the price that the customer pays for the specific good or service. However, careful consideration should be given to this indicator as some agents may also have some flexibility in setting prices in order to generate additional revenue from its service of arranging for the specific goods or services that are to be provided to the customer <sup>19</sup> .                                                                                                                                                                |

The above indicators should not be viewed in isolation and should not be considered a checklist of criteria that must be met. These indicators are meant to support the assessment of control, not to replace it.

### **Illustration 3 – Hotel Guest Services – Agent Conclusion**

#### **Facts:**

A hotel management company enters into a 10-year management agreement with a new owner in order to provide hotel services to the owner's hotel guests. For the provision of these services, the owner will pay the hotel management company 4% of gross rooms revenue. Below are the terms of the arrangement:

- The hotel management company enters into contracts in the name of and on behalf of the owner in order to provide these services to the hotel guest.
- While the hotel management company has some discretion in setting the price for a room stay on a given night, the owner sets a range that the hotel management company must stay within.
- The owner is responsible for ensuring that the hotel has sufficient working capital and approves the hotel's annual operating and capital budgets.



### Analysis:

In determining whether the hotel management company is the principal in the provision of hotel services to the hotel guests it considered the following:

- The owner is primarily responsible for fulfilling the contract with the hotel guest (i.e., the hotel stay) through directing the hotel management company to provide these services to the hotel guest.
- While the fees the hotel management company earns will be lower if a room goes unoccupied, the hotel management company does not have a risk of loss for those unoccupied rooms or if the building is damaged.
- The owner controls the range of prices that can be charged to the hotel guest.
- Through the approval of the capital and operating budget the owner controls the physical condition of the hotel and the level of quality of services provided to the hotel guest.

### Conclusion:

The hotel management company concluded it does not control the hotel services provided to the guest but that the nature of its performance obligation is to provide the hotel services to the hotel guest on the behalf of the owner as it directed by the owner to provide those services to the hotel guest. Therefore, since the hotel management company does not control these services prior to them being transferred to the hotel guest, the hotel management company concluded that it is agent in the provision of hotel services to the hotel guest and that its performance obligation is to provide hotel management services to the owner (its customer). Therefore, the hotel management company will recognize revenue on a net basis equal to the fees it retains.

Refer to the **FP-FIN-030 – Revenue Recognition Management and Franchise Contracts** policy for additional examples and details regarding the accounting of management fees earned under a management agreement.

### Illustration 4 – Hotel Laundry Services – Principal Conclusion

#### Facts:

ABC Hotel enters into a laundry service agreement with Laundry Co. for laundry and dry cleaning services for its hotel guests. ABC Hotel's logo is the only logo that appears on the laundry form that is filled out by the hotel guest. ABC Hotel picks up the laundry from the hotel guest and returns the laundry to the hotel guest after it has been cleaned. Below are the terms of the arrangement between ABC Hotel and Laundry Co.:

- ABC Hotel takes on all responsibility for resolving any issues the hotel guest may have with the laundry services and is responsible for any damages caused to the hotel guest's items.
- ABC Hotel entered into the arrangement with Laundry Co. to provide laundry services to its hotel guests on an as needed basis for a fixed fee (regardless of whether a hotel guest ever uses ABC hotel's laundry and dry cleaning services), plus a variable fee based on the services provided.
- ABC Hotel determines and sets its own prices for the laundry and dry cleaning services provided to its hotel guests and takes on all risk if a hotel guest does not pay for their dry cleaning.
- The hotel guests cannot directly interact with Laundry Co. in order to obtain laundry and dry cleaning services.

<sup>15</sup> ASC 606-10-55-36 through 55-37, *Revenue from Contracts with Customers, Overall, Implementation Guidance and Illustrations*

<sup>16</sup> ASC 606-10-25-25, *Revenue from Contracts with Customers, Overall, Recognition*

<sup>17</sup> ASC 606-10-55-39a, *Revenue from Contracts with Customers, Overall, Implementation Guidance and Illustrations*

<sup>18</sup> ASC 606-10-55-39b, *Revenue from Contracts with Customers, Overall, Implementation Guidance and Illustrations*

<sup>19</sup> ASC 606-10-55-39c, *Revenue from Contracts with Customers, Overall, Implementation Guidance and Illustrations*



**Analysis:**

In determining whether the ABC Hotel is the principal in the provision of laundry and dry cleaning services to the hotel guests it considered the following:

- ABC Hotel is the only brand advertised to the customer on the laundry form and is also primarily responsible for resolving and remediating any hotel guest issues with the laundry service.
- The hotel guests cannot directly interact with Laundry Co. in order to obtain laundry and dry cleaning services.
- ABC Hotel has general inventory risk related to the laundry service as it is responsible for any damaged hotel guest items and is responsible for paying Laundry Co. regardless of whether the hotel guest pays ABC Hotel.
- ABC Hotel determines all prices charged to hotel guests for the laundry services.

**Conclusion:**

Based on the analysis performed above, ABC Hotel concluded it was the principal in the transaction with the hotel guest and that its performance obligation is to provide laundry services to the hotel guest (its customer). Therefore, ABC Hotel will recognize revenue earned from the hotel guest and the related expense paid to Laundry Co. on a gross basis.

**Illustration 5 – Audiovisual Services – Agent Conclusion**

**Facts:**

ABC Hotel enters into a contract with PSAV to be a provider of audiovisual services to its hotel guests. Below are the terms of the arrangement between ABC Hotel and PSAV:

- PSAV takes on all responsibility for resolving any issues the hotel guest may have with the audiovisual services and must provide all equipment that is needed in providing the audiovisual services to the hotel guest.
- ABC Hotel has no obligation to PSAV and receives a variable fee from PSAV based on the services PSAV provides to the hotel guest, regardless of whether the hotel guest pays PSAV.
- PSAV determines and sets its own prices for the audiovisual services provided to the hotel guests and takes on all risk if a hotel guest does not pay.
- The hotel guests directly enters into a separate contract with PSAV in order to obtain audiovisual services.

**Analysis:**

In determining whether the ABC Hotel is the principal in the provision of the audiovisual services to the hotel guests it considered the following:

- PSAV is primarily responsible for resolving and remediating any hotel guest issues with the audiovisual services.
- The hotel guests directly interact with PSAV in order to obtain audiovisual services.
- PSAV has general inventory risk related to the audiovisual service as it must supply all equipment used and is responsible for paying ABC Hotel regardless of whether the hotel guest pays PSAV.
- PSAV determines all prices charged to hotel guests for the audiovisual services.

**Conclusion:**

Based on the analysis performed above, ABC Hotel concluded it was not the principal in the transaction with the hotel guest and therefore is the agent and that its performance obligation is to arrange for the provision of the audiovisual services to the hotel guest on behalf of PSAV (its customer). Therefore, ABC Hotel will recognize revenue earned from the hotel guest and the related expense paid to PSAV on a net basis, such that ABC Hotel will only recognize revenue equal to the commission retained.

In connection with the performance obligations that are generally associated with the management and franchise agreements that Hilton enters into, Hilton has determined the following regarding whether it is the principal or agent of each performance obligation:

| Performance Obligation                                                                                                    | Description                                                                                                                                                                                                                                  | Principal / Agent                                                                                                                                                                                   |
|---------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| • Hotel Management Services                                                                                               | • Providing day-to-day management services of the hotels for the hotel owners (a series of distinct services performed over time).                                                                                                           | • Hilton is the principal of the provision of management services to the owner, but agent in the provision of hotel services to the hotel guest.                                                    |
| • Right to access Hotel System IP                                                                                         | • The right to access Hilton's hotel system IP, including brand IP, reservations systems and property management systems (a series of distinct services performed over time).                                                                | • N/A – as there are only two parties involved in the transaction (Hilton and the owner).                                                                                                           |
| • Development Services / Technical Services                                                                               | • Providing consultative services (e.g., design assistance, contractor selection) to the hotel owner to assist with the day-to-day construction of the hotel prior to the hotel opening (a series of distinct services performed over time). | • N/A – as there are only two parties involved in the transaction (Hilton and the owner).                                                                                                           |
| • Pre-Opening Services                                                                                                    | • Providing services (e.g., advertising, budgeting, e-commerce strategies, food and beverage testing) to the hotel owner to assist in preparing for the hotel opening (a series of distinct services performed over time).                   | • N/A – as there are only two parties involved in the transaction (Hilton and the owner).                                                                                                           |
| • A material right to a free good or service provided to the hotel guest through the accumulation of Hilton Honors points | • The obligation to provide or arrange for the provision of a discounted or free good or services (satisfied at a point in time when the underlying free or discounted good or service is provided to the customer).                         | • Hilton is the agent in the provision of a discounted or free good or service to a Hilton Honors Member, unless that good or service is for a room stay at one of Hilton's owned or leased hotels. |

In connection with the performance obligations that are generally associated with Hilton's owned and leased hotels in which a third party is involved, careful consideration should be given to each of the activities provided to the hotel guest to determine whether Hilton controls that good or service prior to it being transferred to the hotel guest.

### **c. Step 3: Determining the Transaction Price**

The transaction price is the amount of consideration to which an entity expects to be entitled in exchange for transferring promised goods or services to a customer, excluding amounts collected on behalf of third parties. The consideration promised in a contract with a customer may include fixed amounts, variable amounts, or both<sup>20</sup>. Any estimates included within the transaction price shall be updated at the end of each reporting period based on the current circumstances present at that time<sup>21</sup>.

#### **Principal versus Agent Considerations**

If Hilton is the principal of a performance obligation, the gross amount of the consideration received from the end consumer associated with the performance obligation will be included within the transaction price and Hilton will recognize the commission paid to the third party as an expense<sup>22</sup>. However, if Hilton concludes that it is the principal of a performance obligation, but does not know (and never expects to know) the price charged to its customer for its goods or services by a third party, Hilton shall

<sup>20</sup> ASC 606-10-32-2, Revenue from Contracts with Customers, Overall, Measurement

<sup>21</sup> ASC 606-10-32-14, Revenue from Contracts with Customers, Overall, Measurement

<sup>22</sup> ASC 606-10-55-37B, Revenue from Contracts with Customers, Overall, Implementation Guidance and Illustrations

not estimate an amount for the total price charged to the customer, but instead shall only include within the transaction price the net amount of consideration retained by Hilton. For example, if a hotel enters into an agreement with an Online Travel Agency (“OTA”), it may conclude it is the principal in the transaction with the hotel guest (its customer). However, if the hotel receives the net cash amount remitted by the OTA for the hotel guest’s stay, but does not know the actual amount the OTA charged the hotel guest because of the OTA’s ability to charge additional booking fees, the hotel should only include the net amount remitted by the OTA within the transaction price.

If Hilton is the agent of a performance obligation, then the net amount of the consideration retained by Hilton after paying the third party will be included within the transaction price<sup>23</sup>.

#### *Variable Consideration*

At contract onset, if the consideration promised in a contract includes a variable amount, Hilton shall estimate the amount of consideration to which it will be entitled in exchange for transferring the promised goods or services to the customer and include this amount in the transaction price<sup>24</sup>. However, if the variable consideration relates to a performance obligation that is a series of distinct goods or services (e.g., Management Services, Right to access Hotel System IP), Hilton will not estimate the variable consideration related to this performance obligation at contract onset. Instead, Hilton will only include these variable fees (e.g., royalty fees, base and incentive management fees, cost reimbursements) within the transaction price, once the amount is earned per the contract terms. For example, if Hilton earns a royalty fee equal to 4% of gross rooms revenue each month, at the beginning of Month 1, Hilton would not estimate the variable consideration, but instead at the end of the month, once the gross rooms revenue is known (\$500,000), Hilton would then determine the amount earned and recognize revenue for the services provided in Month 1 (\$20,000).

Further, variable consideration earned that is dependent upon an uncertainty (i.e., the performance of the hotel) shall be limited to the extent that it is probable that a significant reversal in the amount of cumulative revenue recognized will not occur when the uncertainty associated with the variable consideration is subsequently resolved<sup>25</sup>. For example, if Hilton anticipates that some or all of the incentive management fee that it earned related to a management agreement will be reversed in subsequent periods due to either anticipated losses or failure to achieve the incentive fee performance targets, the incentive fee recognized in any given period should be constrained to the lesser of the actual fee earned to date or the forecasted incentive fee for the entire incentive fee period. Refer to the **FP-FIN-030 – Revenue Recognition Management and Franchise Contracts** policy for additional examples and details regarding the accounting of incentive fees.

#### *Expected Price Concessions*

Generally, within Hilton’s contracts there is not a presumption of an implied concession. However, based on facts and circumstances associated with the negotiations and discussions with a customer, Hilton may determine it will accept a lower amount of consideration from the customer than what was contractually agreed, this determination may be made at contract onset or during the term of the contract. In these situations, in the period Hilton determines that it expects to offer a price concession, the transaction price should be reduced by the amount of the concession.

#### *Customer Incentives*

Hilton may offer a variety of customer incentives such as cash rebates, discounts on goods or services, or complimentary goods or services. If the customer incentive is contingent upon an event then the customer incentive would be considered variable consideration (i.e. dependent on the completion of a defined level of spend or remaining a customer for a specified time period), and therefore, if Hilton expects to provide this cash rebate or a discount on a good or service to a customer, the transaction price should be reduced by the amount of the expected cash rebate or discount<sup>26</sup>. If the cash consideration received by Hilton from the customer exceeds the transaction price, Hilton shall recognize a refund liability equal to the amount that it expects to return to the customer<sup>27</sup>.

<sup>23</sup> ASC 606-10-55-38, *Revenue from Contracts with Customers, Overall, Implementation Guidance and Illustrations*

<sup>24</sup> ASC 606-10-32-5, *Revenue from Contracts with Customers, Overall, Implementation Guidance and Illustrations*

<sup>25</sup> ASC 606-10-32-11, *Revenue from Contracts with Customers, Overall, Measurement*

<sup>26</sup> ASC 606-10-32-11, *Revenue from Contracts with Customers, Overall, Measurement*

<sup>27</sup> ASC 606-10-32-10, *Revenue from Contracts with Customers, Overall, Measurement*

Further, if a customer must actively redeem the incentive from Hilton and Hilton has the appropriate history to be able to reasonably estimate the expected amount of customer incentives not expected to be redeemed by the customer, Hilton must apply breakage to the amount of customer incentives not expected to be redeemed and exclude this amount from the reduction of the transaction price<sup>28</sup>.

#### *Refundable Fees*

If the contract with the customer contains fees that are reimbursable to the customer upon the occurrence or nonoccurrence of certain events these fees would be considered variable fees under the contract. The amount of fees that are expected to be refunded to the customer shall be excluded from the transaction price and a refund liability shall be recognized for any cash received that Hilton expects to refund<sup>29</sup>.

#### **Illustration 6 – Membership Revenue – Refundable Fees – Included in the Transaction Price**

##### **Facts:**

A customer that has consistently used ABC Hotel's spa and resort in the past renews his or hers one-year membership for the fourth year in a row to ABC Hotel's spa and resort for an annual fee of \$1,200. The one-year fee is required to be paid upfront prior to the start of the membership and is only refundable if the customer does not use the spa and resort at all during the one-year membership period.

##### **Analysis:**

ABC Hotel determined that based on the past practices of this particular customer (i.e., consistent use of the spa and resort over the last three years), that it is probable that the customer will continue to use the spa and resort for a fourth year.

##### **Conclusion:**

ABC Hotel determined that since it expects the customer to continue to use the spa and resort it will include the full annual fee of \$1,200 within the transaction price.

#### *Consideration Paid or Payable to a Customer*

As part of certain agreements negotiated by Hilton, Hilton may offer an incentive to the customer to induce the customer to enter into a new or amend an existing contract, generally in the form of a cash payment. These incentives should be carefully evaluated to determine whether to recognize these incentives as a reduction to the transaction price or as a cost incurred by Hilton for goods or services received from the customer.

Cash consideration given to a customer is presumed to be a reduction of the transaction price unless both of the following conditions are met:

1. The Company receives, or will receive a distinct good or service in exchange for the consideration given.
2. The Company can reasonably estimate the fair value of the benefit identified under the preceding condition.

If both of the above conditions are met, the cash consideration given, should be capitalized or expensed based on the nature of the good or service received. However, if the cash consideration given exceeds the fair value of the good or service received, that excess amount shall be characterized as a reduction of the transaction price when Hilton pays or promises to pay the consideration. If the payment is conditional on the occurrence of a future event, Hilton shall reduce the transaction price by amount of the consideration to which Hilton expects that it will pay to the customer<sup>30</sup>. Note that if the consideration given to a customer consists of something other than cash and the above two conditions were not met, that consideration shall be treated

<sup>28</sup> ASC 606-10-55-48, *Revenue from Contracts with Customers, Overall, Implementation Guidance and Illustrations*

<sup>29</sup> ASC 606-10-32-10, *Revenue from Contracts with Customers, Overall, Measurement*

<sup>30</sup> ASC 606-10-32-25 through 32-27, *Revenue from Contracts with Customers, Overall, Measurement*

as a reduction to the transaction price based on its fair value (e.g., performance guarantees and below market loans). Refer to the **FP-FIN-003 – Contract Acquisition Costs** policy for further discussion of the various types of incentives provided to owners under Hilton's management and franchise agreements.

#### *Significant Financing Components*

When the receipt of consideration does not match the timing of the transfer of goods or services to the customer by a period greater than one year (e.g., the consideration is prepaid or is paid after the services are provided) Hilton must assess whether the arrangement contains a significant financing component. If the arrangement contains a significant financing component, the transaction price must be adjusted by the time value of money for the significant benefit of financing that was provided by Hilton or the customer<sup>31</sup>. Types of arrangements that may have a significant financing component include the deferral of management fees subject to owner cash flow or consideration paid to an owner prior to the hotel's opening. Hilton will evaluate contracts with these elements on a case by case basis. Refer to the **FP-FIN-030 – Revenue Recognition Management and Franchise Contracts** policy for an example of the accounting for a significant financing component.

#### **d. Step 4: Allocating the Transaction Price**

The transaction price (including all of the potential elements of the transaction price as noted in **Step 3: Determining the Transaction Price**) should be allocated to each performance obligation in an amount that depicts the amount of consideration to which the entity expects to be entitled in exchange for transferring the promised goods or services to the customer<sup>32</sup>. Hilton shall allocate the transaction price to each performance obligation identified within the contract based on their respective relative standalone selling prices<sup>33</sup>.

#### *Determining the Standalone Selling Price*

The standalone selling price is the price at which Hilton would typically sell that good or service separately to a customer. A contractually stated price for a good or service may be (but shall not be presumed to be) the standalone selling price of that good or service<sup>34</sup>. If the standalone selling price of a good or service is not directly observable, Hilton shall estimate the standalone selling price. Potential methods for estimating the standalone selling price of a good or service include, but are not limited to the following:

- 1) Adjusted market assessment approach – Hilton could evaluate the market in which it sells its goods or services and estimate the price that a customer in that market would be willing to pay for that good or service. This could include observing the prices at which Hilton's competitors sell that same good or service and adjusting that price as necessary to reflect Hilton's costs and margins.
- 2) Expected cost plus a margin approach – Hilton could forecast its expected costs of satisfying a performance obligation and then add an appropriate margin for that good or service<sup>35</sup>.

#### **Illustration 7 – Allocating the Transaction Price based on Standalone Selling Prices – Customer Incentives**

##### **Facts:**

A customer books a package for a 3-night noncancelable stay with free breakfast for each of the following mornings at ABC Hotel for a total of \$600. The hotel typically sells room nights and breakfasts separately for \$200/night and \$20/breakfast. ABC Hotel determined that it has four performance obligations, one for the 3-night noncancelable stay that represents a series of distinct goods or services and three separate performance obligations for a material right to receive a free breakfast. ABC Hotel expects the customer to use their free breakfast each morning.

<sup>31</sup> ASC 606-10-32-15 through 32-19, *Revenue from Contracts with Customers, Overall, Measurement*

<sup>32</sup> ASC 606-10-32-28, *Revenue from Contracts with Customers, Overall, Measurement*

<sup>33</sup> ASC 606-10-32-29, *Revenue from Contracts with Customers, Overall, Measurement*

<sup>34</sup> ASC 606-10-32-32, *Revenue from Contracts with Customers, Overall, Measurement*

<sup>35</sup> ASC 606-10-32-34, *Revenue from Contracts with Customers, Overall, Measurement*

# **Analysis:**

In determining how the transaction price of \$600 for the package should be allocated between each of the performance obligations, ABC Hotel first considered whether any breakage should be applied to the free breakfasts and concluded that since it expects the customer to use all of the free breakfasts that it will not apply any breakage. ABC Hotel allocated the transaction price to each of the performance obligations based on their respective standalone selling prices as follows:

| Separate Units of Accounting | Standalone Selling Price    |                         |
|------------------------------|-----------------------------|-------------------------|
| Three room nights            | \$ 600                      | (\$200 * 3)             |
| Three breakfasts             | 60                          | (\$20 * 3)              |
| Total                        | <u>\$ 660</u>               |                         |
| Separate Units of Accounting | Allocated Transaction Price |                         |
| Three room nights            | \$ 545                      | (\$600 / \$660 * \$600) |
| Three breakfasts             | 55                          | (\$60 / \$660 * \$600)  |
| Total                        | <u>\$ 600</u>               |                         |
| Per room night               | \$ 182                      | (\$545 / 3)             |
| Per breakfast                | \$ 18                       | (\$55 / 3)              |
|                              | <u>\$ 200</u>               |                         |

# **Conclusion:**

ABC hotel allocates \$545 to the 3-night noncancelable stay performance obligation and \$18 to each separate performance obligation for a material right to receive a free breakfast.

## *Exceptions to Allocating based on Standalone Selling Price*

There are two exceptions to using the standalone selling price method to allocate the transaction price in a contract to the respective performance obligations.

- 1) Variable Consideration – Hilton shall allocate variable fees entirely to a single performance obligation if the terms of the variable payment relates specifically to Hilton's efforts to satisfy that performance obligation and that the amount depicts the amount of consideration to which Hilton expects to be entitled in exchange for transferring the promised good(s) or service(s) to the customer<sup>36</sup>.
- 2) Discounts – In general, Hilton shall allocate the discount given to a customer to each performance obligation identified within the contract based on their relative standalone selling prices unless there is observable evidence to support that the discount relates to one or more, but not all of the performance obligations within the contract. Hilton shall allocate the discount to one or more, but not all of the performance obligations within the contract if all of the following criteria are met:
  - Hilton regularly sells each distinct good or service within the contract on a standalone basis,
  - Hilton also regularly sells on a standalone basis a bundle of some of those distinct goods or services at a discount to the standalone selling prices of the goods or services in the bundle and,
  - The discount attributable to each bundle of goods or services is substantially the same as the discount in the contract, and an analysis of the goods or services in each bundle provides observable evidence of the performance obligation to which the entire discount in the contract belongs<sup>37</sup>.

Hilton utilizes the variable consideration exception to allocate generally all of the variable fees under our contracts to both the performance obligations they most closely relate to and to the period they are due per the contract terms. Generally, however,



Hilton does not meet the criteria to allocate a discount to one or more, but not all of the performance obligations within the contract. Refer to the **FP-FIN-030 – Revenue Recognition Management and Franchise Contracts** policy for additional details regarding the accounting of management and franchise fees earned under a management and franchise agreement.

#### *Changes in the Transaction Price Subsequent to Contract Onset*

If the transaction price of a contract changes subsequent to contract onset without the change resulting from a contract modification, the standalone selling prices of the goods and services promised within the contract shall not be updated to reflect any changes in standalone selling prices after contract inception. Instead, changes to the transaction price subsequent to contract onset shall be allocated to the performance obligations in the contract on the same basis that they were allocated at contract inception including to performance obligations that have already been satisfied<sup>38</sup>.

If the transaction price of a contract changes subsequent to contract onset as a result of a modification to the contract, Hilton shall allocate the change in the transaction price as follows depending on the type of modification that has occurred (refer to **Step 1: Identify the contract(s) with a customer** for guidance regarding contract modifications):

- 1) Termination of the existing contract and creation of a new contract – The remaining transaction price, including any estimates of variable consideration, that have not been recognized shall be allocated in one of two ways:
  - If it is determined that the modification of the transaction price relates to goods or services already provided, the change in the transaction price should be allocated to those satisfied performance obligations (and recognized immediately as a reduction or increase to revenue, refer to **Step 5: Recognize revenue when (or as) the entity satisfies a performance obligation** for further guidance on when revenue should be recognized).
  - If it is determined that the modification of the transaction price relates to future goods or services that have not yet been provided, the change in the transaction price should be allocated to the remaining performance obligations based on their respective standalone selling prices. These standalone selling prices must be updated to reflect the current standalone selling prices for these goods and services.
- 2) Part of the existing contract – The transaction price will be allocated to both the satisfied and unsatisfied portion of the performance obligation to appropriately reflect the measure of progress toward complete satisfaction of the performance obligation (and recognized immediately as a cumulative catch-up (down) to revenue, refer to **Step 5: Recognize revenue when (or as) the entity satisfies a performance obligation** for further guidance on when revenue should be recognized).

Refer to the **FP-FIN-030 – Revenue Recognition Management and Franchise Contracts** and **FP-FIN-003 – Contract Acquisition Cost** policies for examples regarding contract modifications.

#### ***e. Step 5: Recognize revenue when (or as) the entity satisfies a performance obligation***

Revenue allocated to the performance obligation should be recognized when (or as) Hilton satisfies the performance obligation by transferring a promised good or service to a customer<sup>39</sup>. For each performance obligation identified within the contract, Hilton must determine whether it satisfies that performance obligation over time. If the performance obligation is not satisfied over time then it is satisfied at a point in time. A performance obligation is satisfied over time if any one of the of the following criteria is met<sup>40</sup>:

- 1) The customer simultaneously receives and consumes the benefits provided. A customer simultaneously receives and consumes the benefits provided if Hilton determines that another entity would not need to substantially reperform the work that Hilton has already completed to date if that other entity were to fulfill the remaining performance obligation to the customer. This is typically associated with routine or recurring services (e.g., hotel management services).

<sup>36</sup> ASC 606-10-32-40, *Revenue from Contracts with Customers, Overall, Measurement*

<sup>37</sup> ASC 606-10-32-37, *Revenue from Contracts with Customers, Overall, Measurement*

<sup>38</sup> ASC 606-10-32-43, *Revenue from Contracts with Customers, Overall, Measurement*

<sup>39</sup> ASC 606-10-25-23, *Revenue from Contracts with Customers, Overall, Measurement*

<sup>40</sup> ASC 606-10-25-27(a), *Revenue from Contracts with Customers, Overall, Recognition*



- 2) Hilton's performance creates or enhances an asset (e.g., work in process) that the customer controls as the asset is created or enhanced.
- 3) Hilton's performance does not create an asset with an alternative use to Hilton and Hilton has an enforceable right from the customer to payment for the performance completed to date.

Refer to **Step 2: Identifying the Performance Obligation(s) in the Contract** for conclusions reached regarding whether Hilton's typical performance obligations are satisfied over time or at a point in time.

#### *Performance Obligations Satisfied Over Time*

- 1) Variable Consideration - Variable fees (including any variable price concessions, expected price concessions, refundable fees and significant financing components) allocated to performance obligations satisfied over time should be recognized as revenue when they are included in the transaction price (subjected to a constraint) and allocated to the period for which services have been performed (i.e., current or past periods).
- 2) Fixed Consideration - Fixed fees (including any fixed price concessions and fixed consideration paid or payable to a customer) allocated to performance obligations satisfied over time should be recognized as revenue over time by measuring the progress toward complete satisfaction of that performance obligation<sup>41</sup>. For example, Hilton will recognize fixed consideration allocated to its Hotel Management Services performance obligation on a straight-line basis over the term of the contract.

#### *Performance Obligations Satisfied at a Point in Time*

Variable and fixed consideration allocated to a performance obligation satisfied at a point in time is recognized when the customer obtains control over the good or service being transferred. Indicators of when control has transferred include but are not limited to<sup>42</sup>:

- 1) Hilton has a present right to payment from the customer
- 2) The customer has legal title to the asset transferred
- 3) Hilton has transferred physical possession of the asset
- 4) The customer has the significant risks and rewards of ownership of the asset
- 5) The customer has accepted the asset

For example, Hilton's performance obligation to provide a free or discounted good or service as part of its Hilton Honors loyalty program is satisfied at the point in time the free or discounted good or service is provided to the Honors member. Refer to the **FP-FIN-044 Loyalty Programs Accounting Policy** for the accounting of Hilton's loyalty program.

#### *Customer Incentives*

The following provides recognition guidance on typical incentives that Hilton offers:

| Incentive                           | Example                                    | Recognition                                                                                                                                                                                         |
|-------------------------------------|--------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Cash Discount - no volume threshold | 2% rebate/discount on audiovisual services | Recognize as a reduction in revenues at the later of when the underlying transactions occur (i.e. room stays, F&B purchases) or the incentive has been communicated to the customer <sup>43</sup> . |

<sup>41</sup> ASC 606-10-25-31, Revenue from Contracts with Customers, Overall, Recognition

<sup>42</sup> ASC 606-10-25-30, Revenue from Contracts with Customers, Overall, Recognition

<sup>43</sup> ASC 606-10-32-27, Revenue from Contracts with Customers, Overall, Measurement

## REVENUE RECOGNITION ACCOUNTING POLICY

| Incentive                                                                           | Example                                                                                                                   | Recognition                                                                                                                                                                                                                                                                                                               |
|-------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Cash Discount - volume threshold                                                    | 2% rebate/discount on group spend - conditioned upon reaching established threshold (i.e. \$100k total spend, 100 nights) | If it is probable that the threshold will be met: Recognize as a reduction in revenues on as the underlying transactions occur (i.e. room stays, F&B purchases) <sup>44</sup> .<br><br>If it is not probable threshold will be met: Recognize as a reduction in revenues if and when the threshold is met <sup>45</sup> . |
| Volume-based additional good/service - associated with specific revenue transaction | Free room night for every four paid room nights                                                                           | Allocate the total rooms revenue across all rooms (including free room) and recognize as room stays occur <sup>46</sup> .                                                                                                                                                                                                 |
| Complimentary good/service - not associated with specific revenue transaction       | Complimentary trips/events/items (i.e. planning trip)                                                                     | Recognize expense as costs are incurred by the property in providing free trip/event.                                                                                                                                                                                                                                     |

## FINANCIAL STATEMENT LINE ITEMS AFFECTED

**Note:** The following section addresses the financial statement line items affected by the accounting for routine transactions covered by this policy (R&P consultation may be required per the authorization section above). For all transactions that require a consultation with R&P, please defer to the guidance provided by R&P regarding the appropriate financial statement line items affected by the transaction.

| Transaction                                                                                     | Affected                                                                                                                                                                                                                      |                                                                                               |                                                         |
|-------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------|---------------------------------------------------------|
|                                                                                                 | Balance Sheet Line Item                                                                                                                                                                                                       | Income Statement Line Item                                                                    | Cash Flow Statement Section                             |
| Recognition of owned and leased hotel revenues                                                  | - Cash and cash equivalents (debit), or;<br>- Accounts Receivable, net of allowance for doubtful accounts (debit)                                                                                                             | - Owned and leased hotels revenues (credit)                                                   | - Operating Activities (reconciling item to net income) |
| Recognition of group rebates                                                                    | - Cash and cash equivalents (credit), or;<br>- Accounts receivable, net of allowance for doubtful accounts (credit)                                                                                                           | - Owned and leased hotels revenues (debit)                                                    | - Operating Activities (reconciling item to net income) |
| Recognition of revenue and commission expense from third party commissions (Hotel is principal) | - Cash and cash equivalents (debit), or;<br>- Accounts receivable, net of allowance for doubtful accounts (debit)<br><br>- Cash and cash equivalents (credit), or;<br>- Accounts payable, accrued expenses and other (credit) | - Owned and leased hotels revenues (credit)<br><br>- Owned and leased hotels expenses (debit) | - Operating Activities (reconciling item to net income) |

<sup>44</sup> ASC 606-10-25-27(a), Revenue from Contracts with Customers, Overall, Recognition

<sup>45</sup> ASC 606-10-32-43, Revenue from Contracts with Customers, Overall, Measurement

<sup>46</sup> ASC 606-10-55-42, Revenue from Contracts with Customers, Overall, Implementation Guidance and Illustrations

|                                                                      |                                                                                                                   |                                             |                                                         |
|----------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------|---------------------------------------------|---------------------------------------------------------|
| Recognition of revenue from third party commissions (Hotel is agent) | - Cash and cash equivalents (debit), or;<br>- Accounts receivable, net of allowance for doubtful accounts (debit) | - Owned and leased hotels revenues (credit) | - Operating Activities (reconciling item to net income) |
|----------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------|---------------------------------------------|---------------------------------------------------------|

RELATED DOCUMENTS, TOOLS, AND TEMPLATES

POLICIES & PROCEDURES

[FP-FIN-003 – Contract Acquisition Costs](#)

[FP-FIN-030 – Revenue Recognition Management and Franchise Contracts](#)

[FP-FIN-044 – Loyalty Programs Accounting Policy](#)

[FP-OPSFIN-030 – Room Revenue and Balancing Procedures](#)

[FP-OPSFIN-031 – Food and Beverage Revenue Controls](#)

[FP-OPSFIN-033 – Other Revenue Controls](#)

| TERM/ACRONYM           | Definition                                                                                                                                                                                                                                                                                    |
|------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Contract               | An agreement between two or more parties that creates enforceable rights and obligations.                                                                                                                                                                                                     |
| Customer               | A party that has contracted with an entity to obtain goods or services that are an output of the entity's ordinary activities in exchange for consideration.                                                                                                                                  |
| Performance Obligation | A promise in a contract with a customer to transfer to the customer either:<br>a. A good or service (or bundle of goods or services that is distinct<br>b. A series of distinct goods or services that are substantially the same and that have the same pattern of transfer to the customer. |
| Transaction Price      | The amount of consideration to which an entity expects to be entitled in exchange for transferring promised goods or services to a customer, excluding amounts collected on behalf of third parties.                                                                                          |

ROLES AND RESPONSIBILITIES

| ENTITY/PERSONNEL                                                                                                              | RESPONSIBILITIES                                                                                                                                                                                                                                |
|-------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| For questions refer to <a href="mailto:AccountingResearch&amp;Policy@Hilton.com">AccountingResearch&amp;Policy@Hilton.com</a> | The email represents the Accounting Research and Policy contact address. Please direct any questions regarding the interpretation or implementation of this policy to a member of the Accounting Research and Policy team or the listed e-mail. |